Indian Railway Finance Corporation Ltd (IRFC)

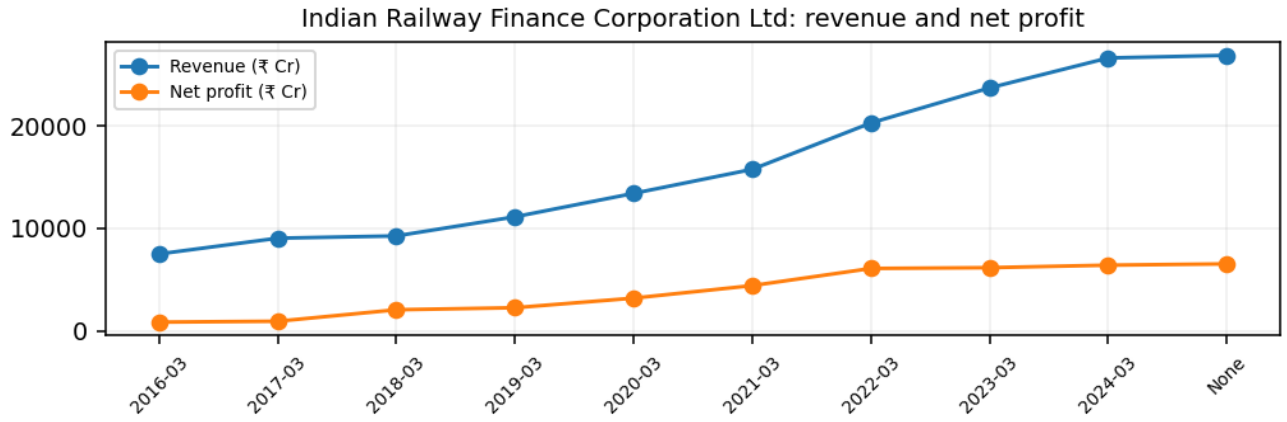
Sector: Financials | Financial year: 2024-03 | Market snapshot: 2024-03

Investment profile — data-led summary

Incorporated in 1986, Indian Railway Finance Corporation borrows funds from the financial markets to finance the acquisition / creation of assets which are then leased out to the Indian Railways as finance lease

Metric	Latest value	Metric	Latest value
ROE	13.04%	ROCE	5.75%
Debt/equity	8.38	Free cash flow (■ Cr)	7,906.00
P/E	9.81	P/B	3.91
Market cap (■ Cr)	2,618,348.58	Dividend yield	2.82%

Revenue and earnings history (up to 10 supplied annual observations)



All figures reflect the supplied source dataset. This report is informational and is not a recommendation to buy or sell securities.

Indian Railway Finance Corporation Ltd — Financial Quality & Risk Review

Strength indicators

Rule	Evidence	Confidence
Positive free cash flow	The latest annual period reports positive free cash flow.	95%
Positive operating margin	The latest annual period reports a positive operating margin.	95%
PAT CAGR 5Y >= 10%	Profit has compounded at least 10% annually over five years in the available statement history.	93%
Revenue CAGR 5Y >= 10%	Revenue has compounded at least 10% annually over five years in the available statement history.	89%

Risk indicators

Rule	Evidence	Confidence
Debt/equity > 1	Debt exceeds equity on the reported debt/equity measure.	78%
High debt/equity > 2	Leverage is elevated, with debt exceeding twice equity.	78%
ROCE below 8%	Return on capital is below 8% in the latest annual ratio record.	76%
Interest coverage < 1.5x	Interest coverage is low, indicating limited headroom against finance costs.	71%

Selected annual financial history

Year	Sales (₹ Cr)	Net profit (₹ Cr)	EPS	OPM %
2019-03	11134	2255	2.00	100.00
2020-03	13421	3192	3.00	100.00
2021-03	15771	4416	3.00	99.00
2022-03	20299	6090	5.00	99.00
2023-03	23722	6167	5.00	99.00
2024-03	26645	6412	5.00	100.00
None	26902	6537	5.00	99.00